Business Valuation Summary

How Australian trade businesses are valued — and what yours is worth

Trade businesses don't sell on revenue alone. A buyer looks at how much money the business actually makes for its owner — called Seller's Discretionary Earnings (SDE) — and applies a multiple to it. The multiple is where the money is: a business that runs on systems with predictable recurring revenue can sell for 2–3x SDE, while a paper-based, owner-dependent business often sells for just 1.2–1.8x.

THE VALUATION FORMULA

SDE ≈ annual revenue × net margin (trades run ~12–18%). Value = SDE × multiple. The multiple scales with systems maturity:

SYSTEMS MATURITY	MULTIPLE
Paper / whiteboard, owner-dependent	**1.2 – 1.8×**
Basic digital (accounting only)	**1.6 – 2.2×**
Integrated (ServiceM8 / simPRO, staff-led)	**2.0 – 3.0×**

YOUR NEXT 3 STEPS

1. Know your SDE.
Pull last year's net profit + your own drawings + one-off owner perks. That total is your SDE — the number buyers actually value.

2. Lift the multiple.
Every system you build (job workflows, compliance forms, recurring contracts) moves you up the multiple table. Systems are literally worth money at sale time.

3. Get a professional read.
This is an estimate for planning. Before any transaction, a licensed business valuer or M&A broker gives the defensible number.

Estimate only — not a professional valuation, and not financial, legal or tax advice. Actual sale prices depend on the buyer, market conditions and due diligence.

Continue Reading on TradieAutomate:

1. [How to Sell Your ServiceM8-Based Trade Business for Maximum Value]
2. [Exit-Readiness Quiz: Is Your Business Built to Sell?]
3. [Scaling a Solar & Electrical Business: Hiring, Systems and Growth]